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Fraud Risk Self-Assessment Checklist

A quick check of your organisation's fraud prevention against the six principles in the Home Office guidance on the failure to prevent fraud offence (Economic Crime and Corporate Transparency Act 2023). Tick each statement that is true and evidenced today. Every unticked item is a gap to put in your action plan.

Organisation _____ Completed by _____ Date _____

1. Top-level commitment

- ☐ A named board member or senior manager is accountable for fraud prevention.
- ☐ The board has approved a fraud prevention policy and reviewed it in the last 12 months.
- ☐ Senior leaders have communicated that fraud, including fraud that would benefit the organisation, is not tolerated.
- ☐ Fraud risk is a standing item for the board or audit committee at least once a year.

2. Risk assessment

- ☐ A documented fraud risk assessment has been completed in the last 12 months.
- ☐ It covers procurement, payments, payroll, expenses, income, IT systems and anyone who acts on your behalf.
- ☐ Each risk has an inherent score, the controls that reduce it, and a residual score.
- ☐ Each significant risk has a named owner on a risk register.
- ☐ The assessment is repeated after significant change, such as a new system, service or restructure.

3. Proportionate prevention procedures

- ☐ No single person can raise, approve and pay a transaction (segregation of duties).
- ☐ Approval limits are written down, and high-value payments need two approvers.
- ☐ Changes to supplier or staff bank details are confirmed by calling a number already on file.
- ☐ Bank accounts and budgets are reconciled monthly by someone independent of the payments.
- ☐ Every high residual risk has an action plan with a deadline.

4. Due diligence

- ☐ New suppliers are checked before first payment (company registration, ownership, bank account).
- ☐ Agents, contractors and others who act on your behalf are identified and checked in proportion to risk.
- ☐ Staff in high-risk roles are vetted on appointment.
- ☐ Conflicts of interest and gifts or hospitality are declared and recorded in registers.

5. Communication, including training

- ☐ All staff have completed fraud awareness training in the last 12 months.
- ☐ Staff in finance, procurement and other high-risk roles have had role-specific training.
- ☐ There is a confidential way to report concerns, including anonymously, and staff know about it.
- ☐ Contractors and members of the public can also report concerns.

6. Monitoring and review

- ☐ The risk register is reviewed at least every quarter.
- ☐ Suspected fraud is recorded in an incident log with the action taken and the outcome.
- ☐ Losses and recoveries are recorded.
- ☐ Controls in the highest-risk areas are tested, for example by audit sampling or data matching.
- ☐ Lessons from incidents lead to changes in controls or training.

This checklist is a self-assessment aid. It supports, but does not replace, legal advice on the Economic Crime and Corporate Transparency Act 2023 or a formal GovS 013 assurance review. Home Office guidance: gov.uk/government/publications/offence-of-failure-to-prevent-fraud-introduced-by-eccta

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